PENNINGTON INDUSTRIES LIMITED

(registered number 03921144)

Minutes of a meeting of the Board of Directors

held at Pennington House, Foundry Road, Sheffield S9 1XH on 1 December 2025 at 10.00 a.m.

Present: Richard Pennington (Chair); Grace Underwood (Group Finance Director); Henry Doyle (Operations Director); Naomi Patel (Company Secretary).

In attendance: Sarah Whitfield and James Osei (Whitfield Carter LLP); Duncan Reeves (Marlow Tax & Advisory Ltd) for items 3 and 4.

1. Quorum and conflicts

The Chair noted that a quorum was present and the meeting was duly convened. No director declared any interest in the matters to be considered beyond their interest as directors and (in the case of Mr Pennington) as a shareholder.

2. Financial position and covenant breach

The Group Finance Director reported that the Group had breached its net leverage, interest cover and minimum liquidity covenants at the 30 September 2025 test date, and that Sterling Commercial Bank plc (the "Lender") had issued a reservation of rights letter on 7 November 2025. The aggregate amount outstanding under the senior facilities was £41.75m. The Lender had not accelerated and had indicated willingness to support a consensual restructuring.

3. Independent Business Review

Mr Reeves presented the draft Independent Business Review ("IBR"). The IBR concluded that the business was viable on a going-concern basis subject to a covenant reset, an injection of new working-capital funding of approximately £6.0m, and delivery of the turnaround plan in the municipal water-pump segment. The Board noted the IBR's findings.

4. Restructuring strategy and directors' duties

Ms Whitfield presented the Restructuring Options Paper and advised on the directors' duties in the zone of potential insolvency, emphasising that the directors must have regard to the interests of creditors as a whole. The Board considered the four options and resolved that the consensual amendment-and-restatement route, bridged by a short standstill, was in the best interests of the Company and its creditors.

5. Resolutions

IT WAS RESOLVED that: (a) the standstill and reservation of rights agreement with the Lender, in the form tabled, be and is approved, and any director be authorised to execute it as a deed on behalf of the Company; (b) the Company pursue a consensual amendment and restatement of the senior facilities, including a new £6.0m super-senior facility and a covenant reset; (c) the Company seek a £2.0m equity subscription from existing shareholders to support the restructuring; and (d) the directors and the Company Secretary be authorised to do all such things as are necessary to give effect to these resolutions.

6. Close

There being no further business, the Chair declared the meeting closed at 11.25 a.m.

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Richard Pennington — Chair